Secondary market research

MANTA NETWORK

Created by

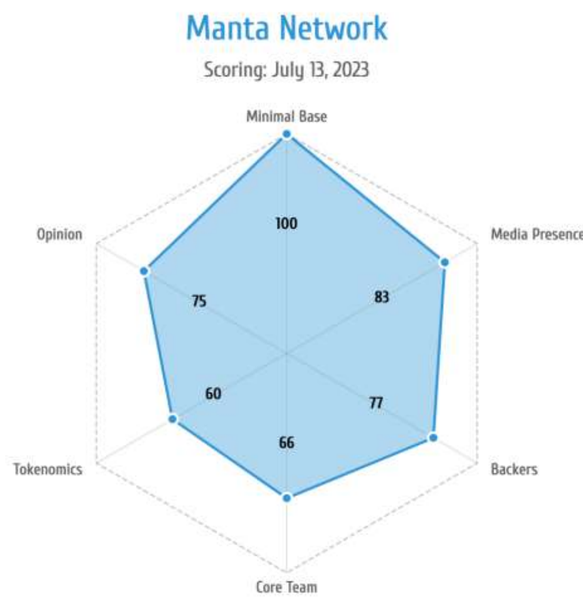
MARS BASE x FRACTAL

MANTA NETWORK

- ZK privacy solutions for Polkadot and Ethereum ecosystems
- Layer 1 on Polkadot & Layer 2 for Ethereum leverage the convergence of two largest developer communities in the space
- Technology proposition: customizable privacy settings for ZK dApps on Ethereum
- 36 investors including Binance, Polychain,Multicoin, AllianceDAO
- Last Deal: $25M Series A at $500M valuation led by Polychain & Qiming (July 19, 2023)
- 200k+ Manta Wallet users, 300k+ zkSBT mints recently
- 40 employees, HQ in Boston, dedicated R&D arm p0xLabs
- Strong team, backers, media presence, KOLs: many of the scoring metrics position Manta Network in the top quarter of our scoring database.
- Controversial tokenomics - aggressive vesting with favorable unlocking setting for early investors
- Balanced scores across different metrics
- 2023 H1: gaining momentum and community interest with >200k active ecosystem participants
- Associated risks can be found in the report (regulatory hostility towards privacy-focused assets, Polkadot decline, etc.)

SCORING

Total Score	77,08%



** You might notice that the final scores per category do not exactly correspond to the aforementioned scores marked in green boxes throughout the paper. It is due to the technical updates we're implementing into the scoring system to bring some additional parameters and conditions that were not previously there. The difference is not of paramount importance and can be neglected as statistical noise.*

Please note the scoring diagram on the left side. Manta Network has achieved a notably high score, placing the project in the 'watch closely' category within our database. Historically, this distinction has been awarded to less than 10% of startups. The scoring sections of Media Presence (aka Community), Backers, Core Team, and Tokenomics are quite self-explanatory and are laid out further in the report in greater details. Follow the document to see how this scoring points break down. W**e use percentiles to assess projects**, creating a "standings" in our database "league" that offers valuable context for each metric compared to other startups in the industry.

Our methodology involves breaking down each section into several dozen data points and metrics to ensure a thorough and objective analysis. Some of the metrics are laid out in details throughout the report. By relying on data as much as possible, we aim to reduce subjective impressions during the evaluation process. The subjective impression is, however, an inherent aspect of the evaluation process and is taken into account through the "Opinion" section of the diagram. That includes various aspects, including the blockchain the project is built on, the underlying idea of the project, and our overall gut feeling towards it. Incorporating this subjectivematter expertise adds a valuable human element to the analysis and contributes to a more holistic evaluation.

“Minimal Base” category assesses the essential documentation and data that a strong project should normally generate. This includes but is not limited to open-sourced development, whitepaper, business model, legal incorporation, and presence on social networks. A low score in this section indicates a lack of sufficient data, which could undermine the validity of our conclusions. Strong startups are expected to score no less than 100% in this category.

The Total Score then derived as the average from the six sections. Sometimes we skew the weights, but for publicly published reports we keep them equal so that the reader can change weights themselves.

Below we are summarising our key findings about the project splitting the argumentative points into “Why Hot” and “Why Not”. The ratio between the two alongside the scoring points should assist the reader in forming their own opinion and investment decision.

WHY HOT

1. *Manta Network has the potential to become a leading decentralized, privacy-preserving platform in the Polkadot ecosystem and a prominent cross-chain DeFi protocol.*

2. *The convergence of Polkadot and Ethereum offers significant opportunities, combining innovation with high liquidity.*

3. *Nifty architecture allows developers to avoid learning new programming languages, making it accessible to Solidity and Rust developers.*

4. *Manta Wallet's adoption among 220k+ users and 80+ ecosystem partners shows promising traction in 2023.*

5. *The project ranks in the 64th percentile for Team Quality and 84th percentile for the Team Background category.*

6. *Despite Polkadot's decline, the project has compelling advantages, including decentralization, governance impact, and developer activity.*

7. *Backers Score ranks above median values and even claims top spots in some metrics, indicating high quality backing.*

8. *The well-funded ZKP narrative in the web3 space positions Manta as an undervalued player with a unique proposition, given its strong fundamentals comparable to other ZK-based startups that have already raised triple-digit rounds.*

9. *The project scored 88th percentile in Community Score, demonstrating outstanding traction in public space with multiple top KOLs onboard.*

10. *The tokenomics model aims for urgency, with 50% of total supply coming in circulation within 10 months, which is combined with favorable vesting for early investors.*

11. *With continued development progress, Manta is positioned favorably for the next halving cycle, potentially burning a portion of the total supply and reducing sell pressure.*

WHY NOT

1. *Utilizing Optimism stack as a scalability solution has risk-related concerns due to its arbitrary upgradability, potentially causing invalid state roots and disrupting interactions, despite zero-knowledge proofs (ZKPs).*

2. *Signs of systemic decline in the Polkadot ecosystem are apparent. Refer to corresponding pages for detailed arguments against Polkadot, supported by firm data.*

3. *Drop-hunters, especially prominent in initial stages of startups with Twitter-tier-1 influencers' support and VC-backing, could impact the project's token distribution and create significant sell pressure after the token generation event.*

4. *Privacy-focused coins face legal concerns from global enforcement institutions. Recent cases involving Ethereum's Tornado Cash, Bitcoin to Monero laundering, and the arrest of Railgun's founder highlight the potential legal risks for privacy coins like Zcash if regulations are enacted.*

! We endeavor to present the essential information here in a concise and informative manner, yet we wholeheartedly urge you to peruse the complete document for a comprehensive 360-degree exploration of the project's developments, specifics, and overall status, including an insightful analysis of associated markets. Within its pages, you will find an in-depth examination of the project's strengths, as well as the concerns it may entail, providing you with a well-rounded understanding for informed decision-making.

TECHNOLOGY

Manta Network is a Polkadot-native multi-modular ecosystem with a dedicated L2 solution for integrating EVM-based applications.



What is building here?

Decentralized exchange, Private Payment protocol, Lending protocol, Synthetic asset protocol alongside many other DeFi primitives, all accessible by the ETH-based overall liquidity while maintaining security properties of Polkadot environment and providing an innovative anonymity technology for the end user. See the graph on the right:

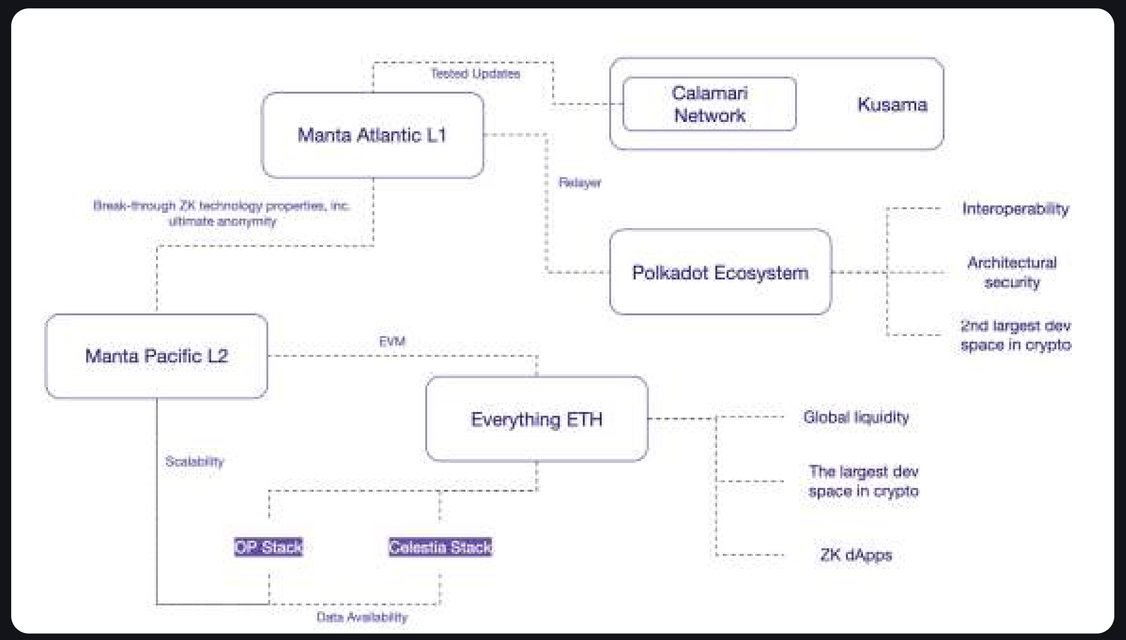
To better understand the trend of modularity and why it's important to track it, refer to our Fuel Labs [link] and Celestia [link] reviews. Refer to this article to better understand the core of ZK tech stack.

The ecosystem consists of 3 chains:

1. The Atlantic L1, which is the base layer deployed on Polkadot environment as a parachain built on Substrate.

2. The Pacific - an EVM-native layer-2 solution.

3. Calamari Network - Kusama-based chain (testing purposes).



Manta Pacific takes all of the work that the Manta team has already built on ZK, and applies it directly into a scalable EVM environment specifically designed for deploying ZK applications through the help of Celestia and the OP Stack.

TECHNOLOGY

Manta Pacific offers **programmable ZK** as an EVM-native L2. What it means, essentially, is that any dApp deployed on it will be able to retain its own programmability, which is a problem for many privacy focused chains that do not provide programmability for an application layer. ZK networks that provide VM environments require developers to pick up new languages that lock those applications into specific ecosystems with limited user bases. Manta Pacific allows for loose-structured Solidity-based building.

It means (in theory) that:

1. Manta Network is providing an opportunity for any dApp on any level of **Ethereum or Polkadot** to implement its own unique **dApp-specific anonymity and security properties** while maintaining Optimism's scalability and base layer security. Such approach allows for distributed and hardware-independent **scaling of privacy**, unlocking immense potential for the implementation of privacy-focused use cases in the decentralized finance sector.

2. Utilising Celestia stack not only protects against data availability atacks, but also allows for reducing the data portion of tx cost. Combined with cheap scalability solution like Optimism can make Manta Network **the cheapest ZK layer in crypto.**

3. The ZK-based nifty cross-chain environment offers a potential convergence in development by bridging Ethereum and Polkadot, **the two largest developer cohorts in crypto**, as measured by commits and repos.

NAME	SUB-ECOSYS...	REPOS	WEEKLY COM...	1M CHANGE %	3M CHANGE %	WEEKLY ...	1M CHANGE %	3M CHANGE %
1 Ethereum	922	27,088	11,308	-16.6%	-32.8%	1,848	-11.6%	-23.6%
2 Polkadot	373	10,990	3,500	-62.0%	-69.6%	662	-20.0%	-22.3%
3 Cosmos	171	5,294	2,495	-26.3%	-37.7%	533	-19.4%	-27.3%
4 Solana	238	9,661	3,336	-11.6%	-38.9%	442	-9.2%	-35.6%
5 Bitcoin	80	4,584	2,055	-8.7%	-29.9%	335	-8.7%	-23.2%

Artemis

CORE TEAM

Primary Office

Boston, MA 02215

United States

Latest Deal Type
2ndary - Private

Ownership Status

Privately Held (backing)

Financing Status

Venture Capital-Backed

Executive Team:

Shumo Chu Ph.D - Co-Founder and Chief Executive Officer

Kenny Li - Co-Founder & Chief Operating Officer

Stephen Byong-Uk Lee - Chief Business Development Officer

Canghai Victor Ji - Co-Founder

Brandon Gomes - CTO

Prominent Aggregated

Experience: Rutgers University, Washington University, Nanyang Tech, MIT, Harvard University, McKinsey, PwC, Bank Of China, Algorand

Portrait: Academics, Cryptography savvy, Ivy League Startup founding teams can be **clustered** by multiple portrait categories, such as the above. These categories place the project in the complimentary basket of **tech-savvies & cryptography geeks** together with such prominent names as Privy, Espresso Systems, Anoma Network and some others. It's worth noting that even though there's plenty of big names in the overall aggregated experience of the Manta team, most of it lies in the filed of **academic research** with only some members boasting tier-1 background from the business side. Also, some members fall clearly in the "bubble network" indicator highlighting rather limited network exposure, bounded by one geographical area. This factors contribute to the **Network metrics** falling slightly **below the median** values in our database, placing Manta on the 44th percentile in the Network section.

On the other hand, the very **Background** overall quality **metrics** soar the project up as high as at **84th percentile** hand in hand with such names as Celestia, Aptos, Eclipse, IronFish and many other tier-1 initiatives. This metrics are derived from the overall size and prominence of the organizations that the founding has been involved with. In this case, mainly due to world-leading research institutions the founders have worked with.

OVERALL TEAM QUALITY SCORE

64%

**It's worth noting that our db does not track all the crypto deal flow space and might not consider some startups that do not fall in our investment thesis.*

All metrics combined, Manta Network team is placed **at 64th percentile** in our proprietary founding teams database, neighbouring the likes of Scroll, deBridge and some others. Essentially, that means that we keep track of an assortment of metrics by which a startup company can be measured. This includes (but is not limited) to the company size, revenue tier, followers base, in-sector prominence, fame & influence, public connections, patents & publications, employees connections, market/ founder fit, crypto-nativeness, staff members technical expertise, etc. Our measurement with regard to Manta Network core team **makes it "overall better" than 64% of all the projects** in our database that includes hundreds. Quite an accomplishment and something for investors to notice.

ECOSYSTEM TRACTION

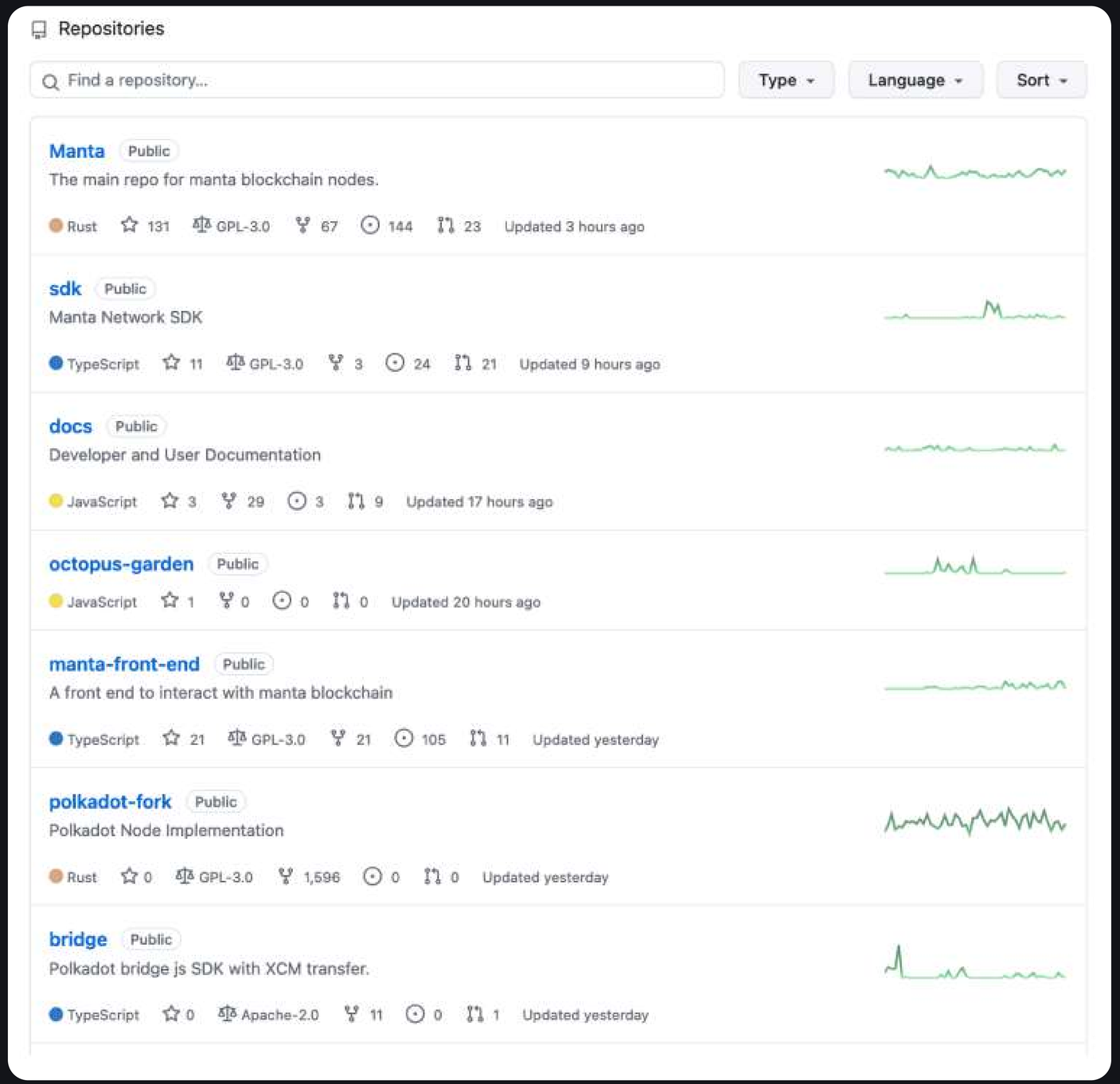
Manta Network has a number of renowned blockchain industry partners, including Acala, Parallel, Dora Factory and more.

Manta Wallet adoption among **220k+ users and 50+ ecosystem partners** as well as over **300k zkSBT minted** is a testament to the promise our web3 ecosystem holds for users and developers alike. The full status quo of Manta ecosystem can be viewed **here.**



2276	383246	234568
Newly minted today	Total zkNFT minted	Activated Addresses

DEV ACTIVITY



>80 repositories curated by seasoned developers from p0xLabs - **a dedicated programming entity behind the project** with participants and advisors from Consensys, Scroll Tech and others on board. Statistically speaking, the worst case for a project future is an outsourced group of developers working on said project as their client. A better scenario is having own developers in house. The best case is launching a separated company solely focused on developing the project with famed consultants on board, which is exactly the case with Manta Network. Daily development activity is tracked with new **commits frequencning less than 3 hours on average.**

MEDIA PRESENCE





Typically, such traffic numbers are associated with products that have already found their market fit and are generating revenue. Or they may be attributed to products that have gone viral. However, in this particular case, it is important to approach the situation assuming that the product has likely attracted a horde of drop-hunters rather than achieving genuine market fit. Users are likely arriving on the platform through direct links and spending around 5 minutes to likely complete their tasks before moving on.



The traffic distribution is decentralized, with no single country dominating by more than one-fifth.

However, the **Organic Search** marketing channel holds a 1.49% dominance in overall user traffic.

As we'll show below, the project website has gained popularity primarily due to anticipated airdrops, and whether this is advantageous or disadvantageous is a subjective judgment left to investors

MEDIA PRESENCE

Socials

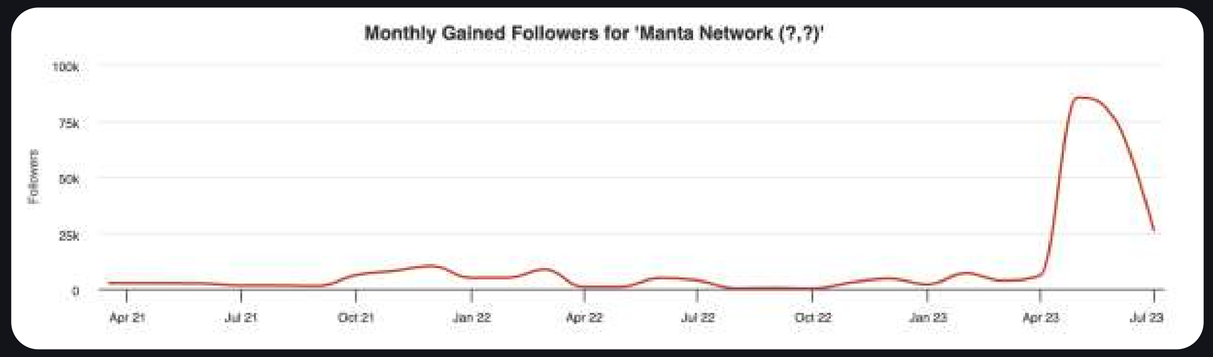
173,000 | 23,000 | 278,000

450 | 1,000 | 29,000



Manta’s discord - fountaining with engagement, entirely revolving around “when airdrop” topic. People explain each other why the SBT is for Optimism adopters only. 121 boosts, own emoji pack - every Discord check-box has been ticked.

The audience engagement is impressive, with a **new message posted every 5 minutes on average** in the last 90 days. The administrators' response rate is also commendable, typically within 5-6 hours.



Manta’s been tweeting aggressively. And quite efficient, too. Its T**witter/ Follower ratio is 33% higher** than our db median. On the other hand, the **community size is over 11 times larger** than we see on average.

That tells you something about how much effort Manta has had to put in order to maintain the upper-middle growth. When a project grows organically, oftentimes we see the opposite: modest size ratio against db and much higher twitter/follower metric as the product being adopted but its account does not tweet as much.

The general **Speed** section metrics place Manta’s speed of media presence development **3.28 higher than median**, which is a green flag for any project on any given day.

The followers spike on the chart above is, of course, related to the MantaPay incentivize program for early adopters and further hunters. But it is worth noting the Manta’s media presence had been exemplary even before, as the team has all the way long been delivering a new announcement every 2-3 days, whether it was a grant programme, a new partnership announcement or an AMA space with prominent guests.

BACKERS

Tier 1

- Binance Labs
- Multicoin Capital
- Polychain Capital

Tier 2

- CMS Holdings
- CoinFund
- DeFiance Capital
- Divergence Ventures
- Genblock Capital
- Hypersphere Ventures
- ParaFi Capital
- The Spartan Group

Tier 3

- Advanced Blockchain
- AU21 Capital
- BTC12 Capital
- DFG Capital
- Global Coin Research
- Lancer Capital
- LongHash Ventures
- Mentha Partners
- Origin Capital
- Rarestone Capital
- SkyVision Capital
- SNZ Holding
- TRGC
- Zee Prime Capital

Other

- 0xMaki
- Alameda Research
- Kevin Hu
- Santiago R. Santos
- Three Arrows Capital

Deal Type	Date
6. Secondary Transaction - Pri...	01-Nov-2022
5. Secondary Transaction - Pri...	
4. Early Stage VC	17-Feb-2022
3. Early Stage VC	19-Oct-2021
2. Early Stage VC	02-Feb-2021
1. Early Stage VC	01-Jan-2020

Funding History:

Seed Round: Q1 2021 $1.1m

Series A: Q4 2021 $5.5m

Community Sale: Nov 2021 $28.8m*

**Manta Network participated in the very first block of Polkadot crowd-loan auctions and was unable to secure a winner spot despite having >$20m locked. In the light of this, the team decided to organize a special event for the community sale called The Squid Game, having 8% of Total Supply sold at the price of $0.036.*

#	Project	Funds Raised	Contributions	Min Reward	Tokenomics	
1	Moonbeam	35 759 931 DOT (*$187 739 640*)	48 346	4+ GLMR 1 DOT : 4+ GLMR	Reward Pool: 150m of 1b (15%) Inflation: 5%	WINNER
2	Acala	32 515 980 DOT (*$170 708 896*)	24 934	4.61+ ACA 1 DOT : 4.61+ ACA	Reward Pool: 170m of 1b (17%) Inflation: 0%	WINNER
3	Parallel Finance	10 751 519 DOT (*$56 445 473*)	4 009	109+ PARA 1 DOT : 109+ PARA	Reward Pool: 1.25b of 10b (12.5%) Inflation: 0%	WINNER
4	Astar	10 333 552 DOT (*$54 251 148*)	27 170	102+ ASTR 1 DOT : 102+ ASTR	Reward Pool: 1.4b of 7b (20%) Inflation: 10%	WINNER
5	Clover Finance	9 752 487 DOT (*$51 200 559*)	5 465	20+ CLV 1 DOT : 20+ CLV	Reward Pool: 200m of 1b (20%) Inflation: 5%	WINNER
6	Efinity	8 836 633 DOT (*$46 392 322*)	8 587	4+ EFI 1 DOT : 4+ EFI	Reward Pool: 200m of 2b (10%)	Refunded
7	Manta Network	4 015 736 DOT (*$21 082 613*)	8 086	5+ MANTA 1 DOT : 5+ MANTA	Reward Pool: 156m of 1b (15.6%) Inflation: 0%	Refunded

BACKERS

We utilize a proprietary scoring system to assess VCs and angel investors based on factors such as AUM, market experience, reputation, influence, unicorn investments, YoY ROI, total portfolio MC, and historical investment behavior (diamond-hand/paper-hand). Our evaluations incorporate both public and insider data for a comprehensive analysis.

Project	NOI	Raised, $m	Valuation, $m	VC CBRA	VC DH
Manta Network	35	35.4	36.10	20,831	165.60
Taker Protocol	12	3.0	12.00	6,812	159.00
Iron Fish Network	16	27.6	120.00	3,918	145.25
DeBridge	32	5.5	ND	11,667	122.06
Espresso Systems	20	35.1	170.00	3,160	118.15

Initially, it came as a surprise to see **Manta Network securing the top position in our VC DH rating**. This particular rating is designed to track esteemed investment entities known for their long-term commitment to holding onto their investments and providing substantial additional value to the startups they support. The reason behind Manta Network's ranking can be attributed to a concentration of boutique quality firms in the tier-2 and tier-3 zones.

These firms, although not widely recognized in the crypto space, possess exceptional research capabilities and focus on long-term perspectives. Entities like The Spartan Group, along with lesser-known players such as SNZ Holdings and Zee Prime Capital, contribute just as significantly to this metric as more prominent names like Binance Labs.

It's crucial to note that this metric is only a single component contributing to the Overall Backers Score. While significant, it doesn't mean that the project ranks first across our entire database of backers.

OVERALL BACKERS SCORE

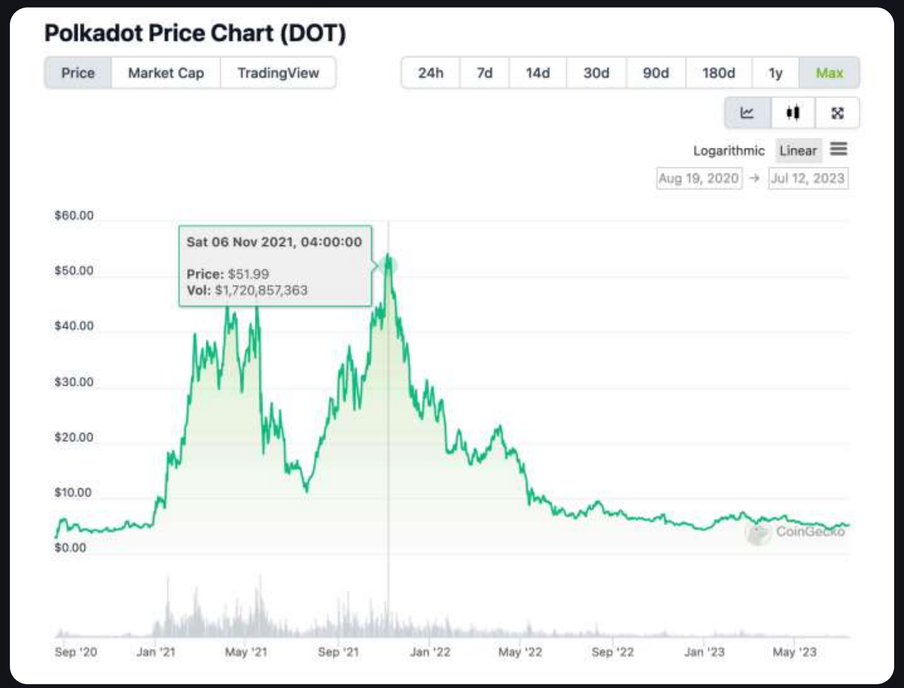
64%

It's worth noting that our db does not track all the crypto deal flow space and might not consider some startups that do not fall in our investment thesis.

Manta Network's overall backers rank is impacted by several other factors that contribute to its placement within the percentile range. One notable factor is the inclusion of **paper-handed funds and underperforming organizations** that were onboarded during the bullish market cycle of 2021. Notorious entities such as 3AC and Alameda Research went bust alongside other VC firms currently facing challenges or displaying poor performance. These factors have influenced Manta Network's overall ranking.

Furthermore, there may be funds that are relatively unknown to our research team. In such cases, their lack of recognition is factored in as a negative multiple when calculating the overall score, which in case of Manta, nevertheless, remains **firmly above the average.**

POLKADOT DEMISE?



Manta community sale event took place in November 2021. It's worth noting that Nov 2021 coincided with the peak of the last bull market and of $DOT in particular. Back then the Polkadot narrative was at its prime and, as shown previously, even securing **more than $20m crowd funds** was not enough for projects to win a parachain slot.

Since then, however, much has changed and a lot of evidence point out to the relative demise of Polkadot ecosystem, which can be seen on the price chart as well as the total crowd-loan funds secured by the projects.

What began with a swarm of projects securing nearly $600m of combined funding, nowadays has turned to be a rather sad-looking show of leftovers with barely more than $1m funds locked into ... 2 applications within 2 months? That is very disturbing.

Crowdloans on Polkadot

Projects raised: 113 373 579 DOT (*$595 211 292*)

#	Project	Funds Raised	Contributions	Min Reward	Tokenomics	
1	Moonbeam	35 759 931 DOT (*$187 739 640*)	48 346	4+ GLMR 1 DOT : 4+ GLMR	Reward Pool: 150m of 1b (15%) Inflation: 5%	WINNER
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Polkadot auctions 1-5, Nov 2021

Crowdloans on Polkadot

Projects raised: 263 895 DOT (*$1 385 451*)

#	Project	Funds Raised	Contributions	Min Reward	Tokenomics	
	Auctions #44-45					
1	peaq	207 141 DOT (*$1 087 489*)	749	190+ PEAQ 1 DOT : 190+ PEAQ	Reward Pool: 71.4m of 4.2b (1.7%) Inflation: 2.5%	Ended
2	InvArch	56 755 DOT (*$297 962*)	485	114+ VARCH 1 DOT : 114+ VARCH	Reward Pool: 40m of 1b (4%)	Ended

TBA - to be announced
The current values of the progress bars are based on the maximum "Funds Raised" value in the table

Polkadot latest auctions, June - July 2023

POLKADOT DEMISE?

Undoubtedly, the bear market has affected the entire cryptocurrency landscape, including Polkadot, which has seen its $DOT value decline from $55 to the current $5. However, a significant and noteworthy aspect is the drastic plunge in crowd loan funding, measured in $DOT rather than USD. The funding dropped from 113m DOT to 236k DOT, **a staggering 452-fold decrease.** Comparatively, the DOT price has fallen 11 times, highlighting a considerable **41-fold discrepancy between the price action and the underlying ecosystem fundamentals.**



Source: Messari - State of Polkadot Q2 2023 (figures here only account for the funds that were actually locked)

Indeed, strong projects have the potential to withstand bear markets by focusing on expanding their infrastructure and maintaining a loyal user and investor base. Given the current DOT price hovering around $5, it may be worthwhile to consider allocating DOT holdings to projects with strong fundamentals, such as PEAQ. When better?

By investing in projects that demonstrate robust foundations and promising long-term prospects, investors can position themselves for potential growth and resilience in challenging market conditions. But alas, the **investors can't be seen** anywhere near horizon. Nor any auction applicants can be detected.

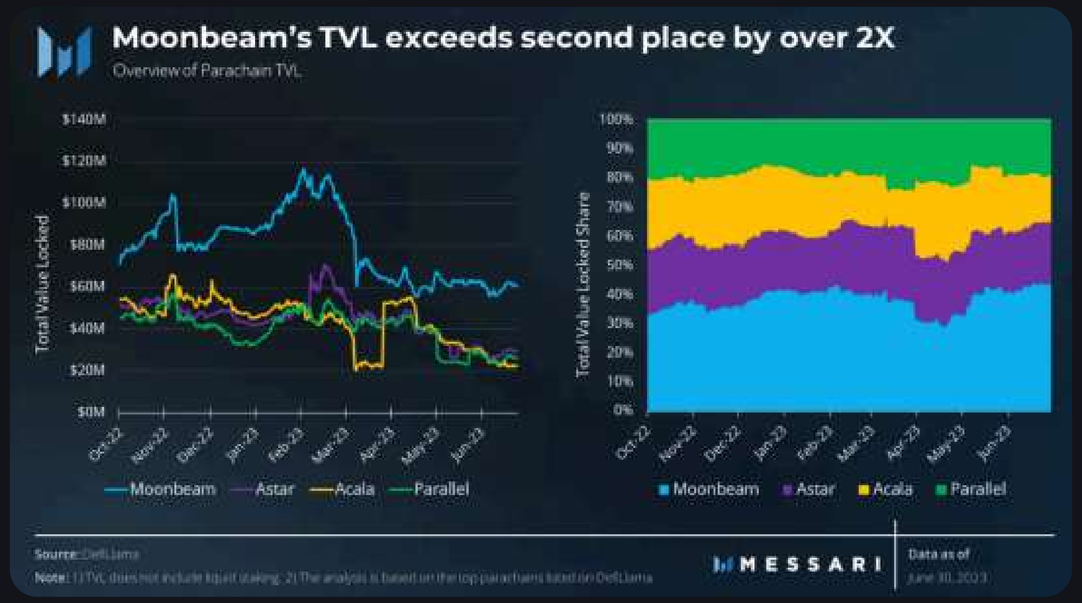
Moreover, the most prominent names associated with Polkadot have all been the alumni of the very first auction batch (Slots 1-5): Moonbeam, Accala, Astar. We can't really name many that have appeared since then. The whole ecosystem has been going through a painful liquidity draining, which is understandable under such macro conditions, but it is now looking gleam like a desolation with no projects even applying for parachain slots any longer, which is by no means acceptable.

POLKADOT DEMISE?

An alternative perspective to consider is the ‘TOTAL3/POLKADOT_CROWDLOANS’ ratio, which compares the global cryptocurrency market cap excluding BTC and ETH (TOTAL3) with the total amount collected in crowd loans on Polkadot. In November 2021, TOTAL3 reached a peak of $1.131 trillion, while the first auction batch on Polkadot gathered approximately $600 million in crowd loans. This results in a ratio of 1.131t/ 600m = 1,885.

In the current bear market, where investors are seeking fundamentally strong ecosystems as safe haven assets, TOTAL3 has experienced significant struggles, plummeting to $331,679,000. Similarly, the last auction batch on Polkadot has seen a meager gathering of $1,385,451. This results in a ratio of $331,679,000/$1,385,451 = 239,401. By dividing 239,401 by the previous ratio of 1,885, we obtain 127, thus arguing that the Polkadot ecosystem has become 127 times weaker compared to its previous self based as per the financial fundamentals. We have an ecosystem that is boasting its developers activity and promising the revolutionary governance proposals, but has factually lost its dominance share by 127 times. Not against the market, but against its better self. And that is not measured by the price action, but by the very audience monetary engagement that should constitute the robustness of the ecosystem.

During bear times, the hype is supposed to evaporate and the fundamentals remain. Can we see the fundamentals within the DOT ecosystem? Well, not through the monetary engagement, at least. The audience participation in the ecosystem should remain, or at least show some level of better resistance than across the market on average. We do not see it here, and that should concern any investor who is allocating funds in any project within the ecosystem.



** The DOT first batch still makes up for 80% of TVL*



Metrics	Q2 2022	Q3 2022	Q4 2022	Q1 2023	Q2 2023
Avg Daily XCM Transfers	683	703	672	660	472
	-	2.9%	(4.3%)	(1.7%)	(28.5%)
Avg Daily XCM Other	4	23	35	90	100
	-	420.4%	54.4%	160.2%	11.0%
Avg Daily XCM Messages	687	726	707	751	572
	-	5.7%	(2.6%)	6.3%	(23.8%)
Active XCM Channels	19	44	70	111	155
	-	131.6%	59.1%	58.6%	39.6%
Parachain Auctions	7	8	7	6	3
	0.0%	14.3%	(12.5%)	(14.3%)	(50.0%)
Parachain Auction Bonds (DOT)	4.17M	0.93M	0.69M	0.33M	0.47M
	(79.6%)	(77.7%)	(25.3%)	(53.0%)	43.4%

** Another illustration of the Polkadot struggles (Messari)*

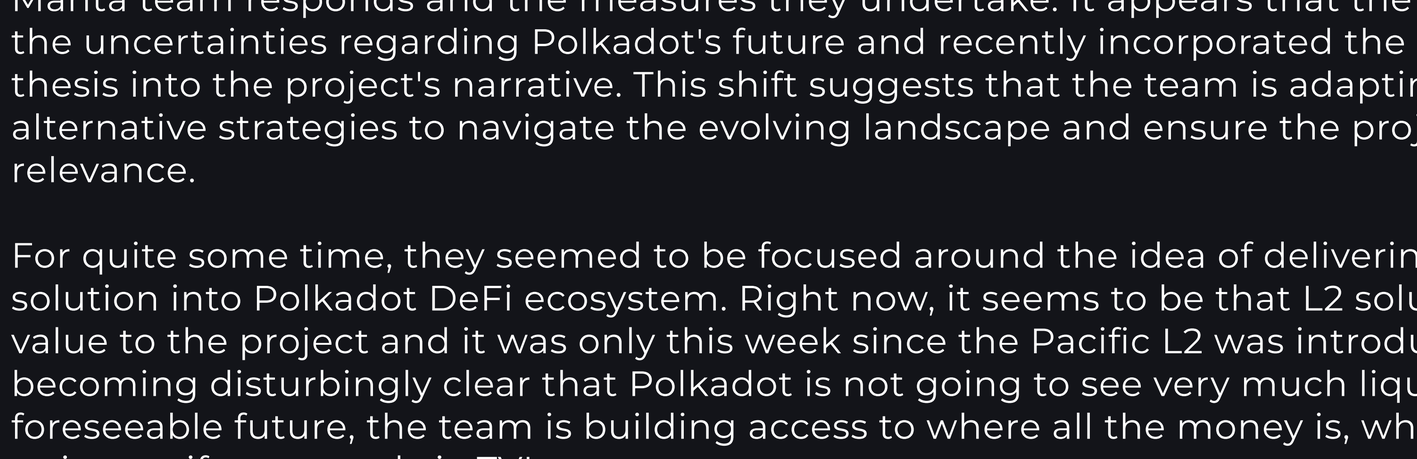
RECENT DEVELOPMENTS

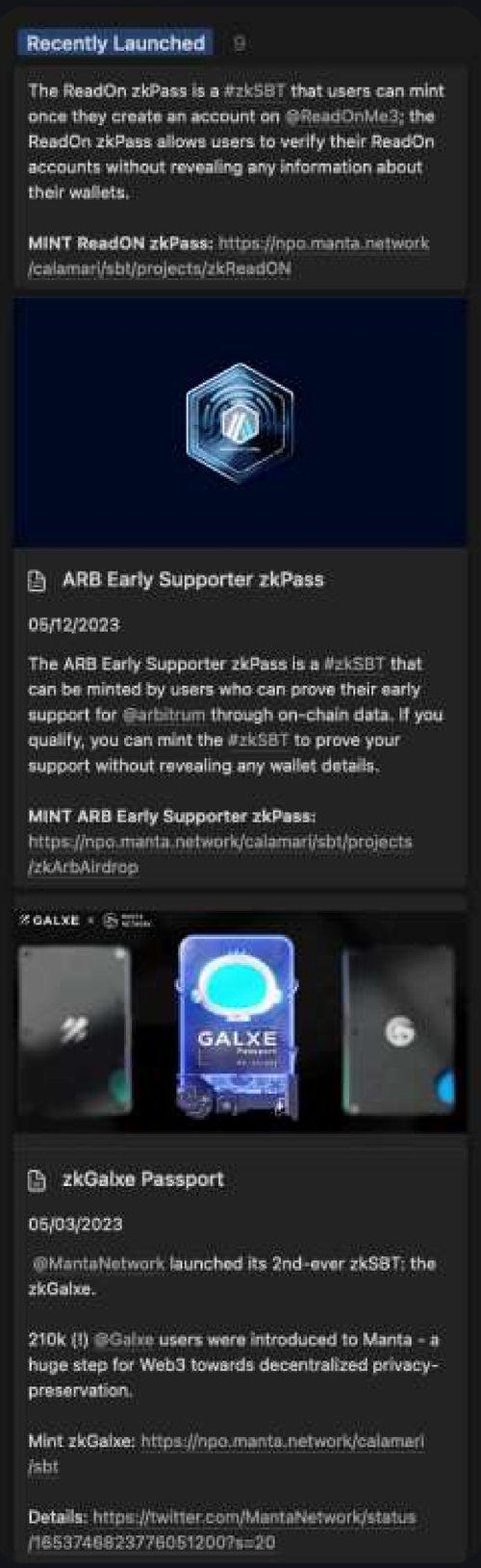
Given the challenges surrounding the Polkadot ecosystem, it becomes crucial to observe how the Manta team responds and the measures they undertake. It appears that the team has recognized the uncertainties regarding Polkadot's future and recently incorporated the L2 EVM-compatibility thesis into the project's narrative. This shift suggests that the team is adapting and exploring alternative strategies to navigate the evolving landscape and ensure the project's resilience and relevance.

For quite some time, they seemed to be focused around the idea of delivering a quality privacy solution into Polkadot DeFi ecosystem. Right now, it seems to be that L2 solution poses the main value to the project and it was only this week since the Pacific L2 was introduced. As it is becoming disturbingly clear that Polkadot is not going to see very much liquidity in the foreseeable future, the team is building access to where all the money is, which is the Eth universe, if measured via TVL.

The comprehensive **roadmap** can be accessed **here**. It looks like the team is heavily focused on securing partnerships set to help Manta smooth out transition to Eth-based liquidity as well as gather some consumer-oriented dApps to bring in more audience.

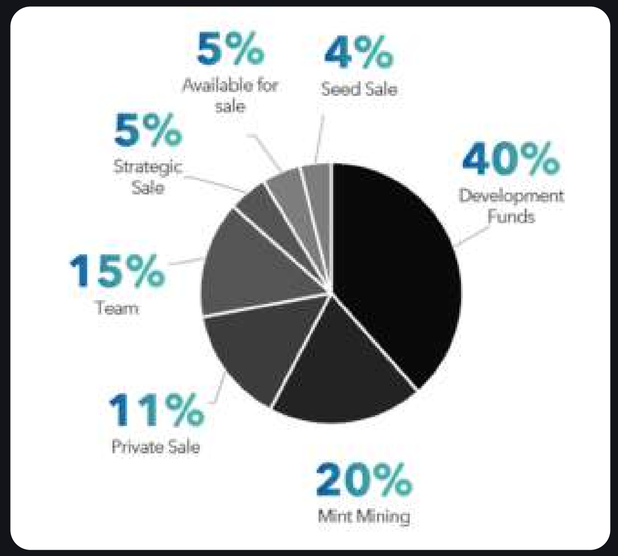
That is to say, the Manta Wallet user adoption as well as minting ZK identifications have taken place this throughout last months, further underlying the team's ability to adapt to market conditions as well as deliver what's promised. All the current traction in users and SBT mints seems to be the consequences of recent efforts, implemented this year. The project is settling on the up-roll, in that sense.





TOKENOMICS

As was highlighted above, there's Calamari Network in Kusama environment with its own utility token $KMA. For purposes of the current paper, we are going to focus only on $MA, which is the utility token of Manta Atlantic Layer deployed in the main relayer of Polkadot.

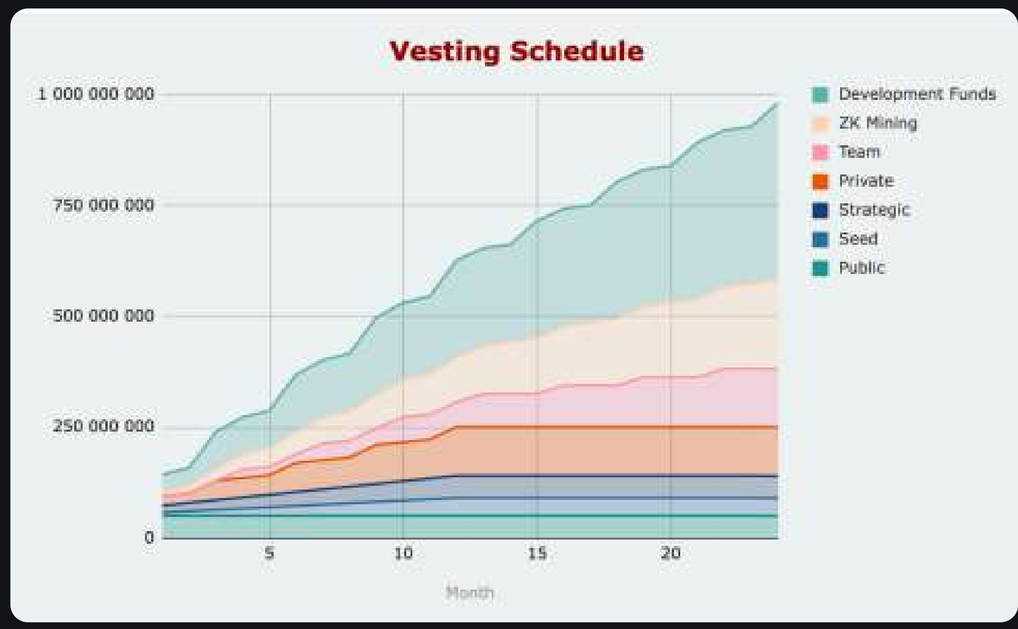


Category	Tokens	Details	Vesting
Available for sale	50M	2% for MANTASwap initial liquidity, 3% for initial privacy tokens mint	Unlock at TGE
Mint Mining	200M	MANTA is mined with private tokens minting and rewarded to those who participate in minting	Locked on day one and gradually vested over two years
Seed Sale	40M	To early contributors and investors to provide liquidity on MANTASwap	10% unlock at TGE, remaining every month for a year
Private Sale	110M	To early contributors and investors to provide liquidity on MANTASwap	20% unlock at TGE, remaining every quarter for a year
Strategic Sale	50M	For future growth of the project including marketing, community building and liquidity providing, parachain auction	25% unlock at TGE, remaining every month for a year
Team	150M	Team Retention	100% lock at TGE for 3 months, releasing every quarter for two year
Development Funds	400M	Align incentives to build innovative and impactful products to enable financial creativity for all	10% unlock at TGE, remaining every quarter for two years

Seed Sale + Strategic + Private + Team = **35%** can be argued as the initially designed **centralisation rate** of total supply.

Also, the largest allocation, **Development Funds**, says "align incentives to build innovative and impactful products to enable financial creativity for all" which translates in English as "for sale when needed". Should we go strict enough and measure the % of supply theoretically controlled by the company and its institutional associates, we could go the length of adding this 40% to the previous 35% and get **3/4 of total supply** risking to be controlled by a limited group of people. That is something a retail or a secondary-market investor should bear in mind.

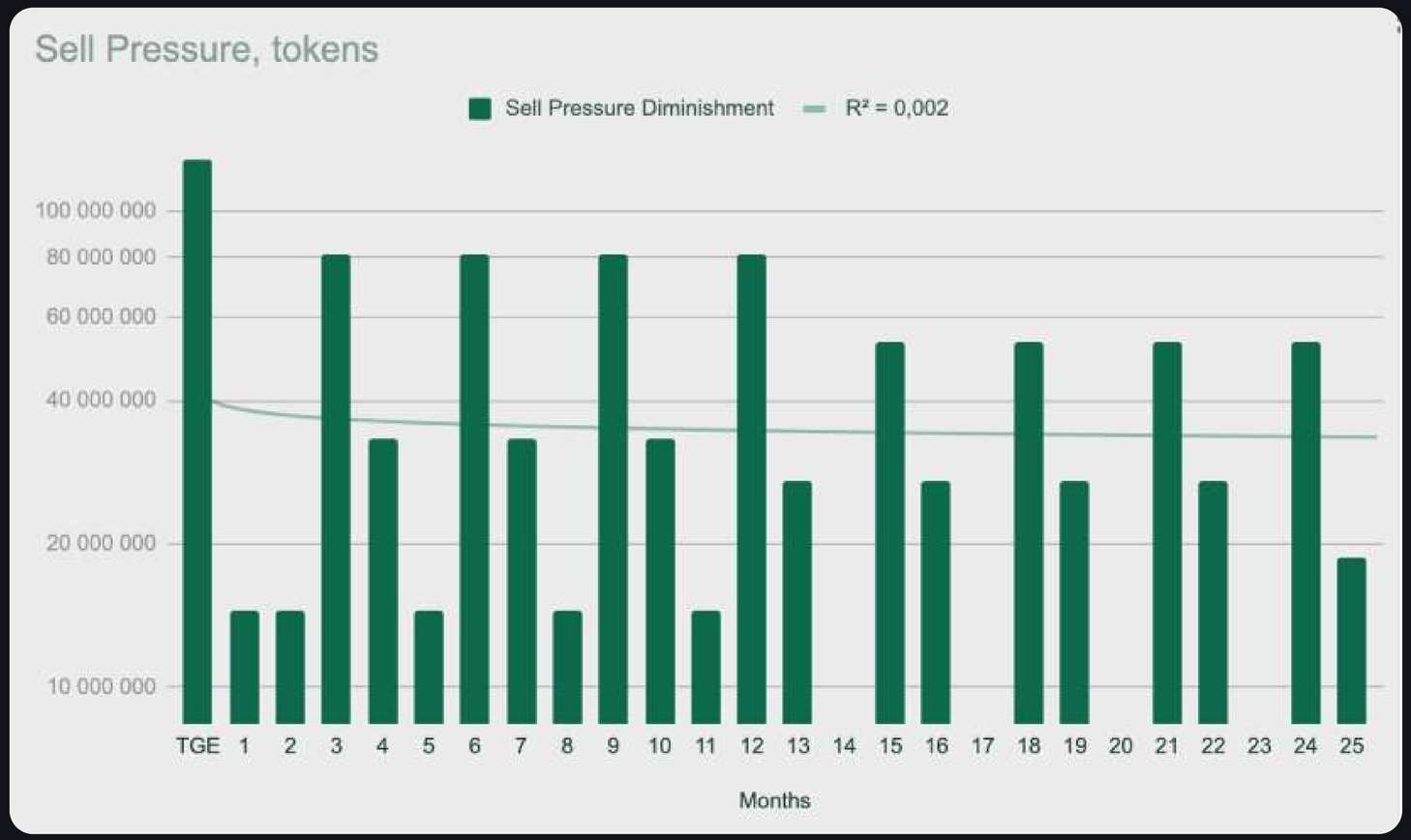
Another thing to bear in mind that Manta offers **a very short vesting with around 13% of total supply unlocking at TGE** - 24 months total with only 1 year for all three cohorts of early investors.



TOKENOMICS

Such a short vesting often provokes knee-jerk looking token emissions when put in a chart. A long short overall vesting duration often bounds project to sharp emissions, simultaneous whale sell-off, and highly unpredictable sell pressure. Ideally, the logarithmic diminishment on such a short vesting schedule should dance 0.1. However, for this project, it dangles near 0, which means the market is expected to experience uneven emission movements if viewed through a month-to-month lens.

In simpler terms, this refers to the radius of dispersion between all points, each of which represents a month in the project's lifespan. The smoother the vesting process, the more gradually it weakens towards the right end of the chart and the closer this metric approaches 1. Here what we see essentially is a **never-weakening sell pressure** consistently flatting over 40m new tokens or 4% on a monthly basis.



The vesting is neither monthly nor quarterly but a combination of the two, with quarterly releases scheduled for the largest allocations: Team, Private and Development Fund (which is likely to be released in an arbitrary fashion as is often the case).

All these do not any more stability to the system, further increasing the uncertainty level in terms of projecting the upcoming sell pressure. All for the sake of releasing the entire supply as soon as possible without causing too much harm.

By the way it is designed, it is likely to be a full-aware decision willingly implemented by the team in order for Manta to become deflationary as soon as possible towards the next bull cycle.

TOKENOMICS

As a rule of thumb, aggressive tokenomics designs facilitate faster development and price appreciation for the tokens backed by strong utility behind them. The Manta token is a utility token that rewards the token holders with a redeem mechanism on the Manta Pay and Manta Swap usage fees. Every time user redeems base tokens for private and vice versa, a commission takes place that goes into a redeemable pool, which is burned upon the claim. Beside facilitating the consensus mechanism that underpins Manta Parachain Chain by staking, it has a burn function, too as well as a governance function.

Burn Function

100% of Manta wrapped fees (in DOT or major crypto assets) are injected into a redeem pool. `$MANTA` holders can redeem at a redeem value (Redeem value will be adjusted by the market) periodically. The `$MANTA` tokens will be burned automatically as soon as they are redeemed, which acts as a deflationary force and accrues value to existing `$MANTA` holders.

Staking Function

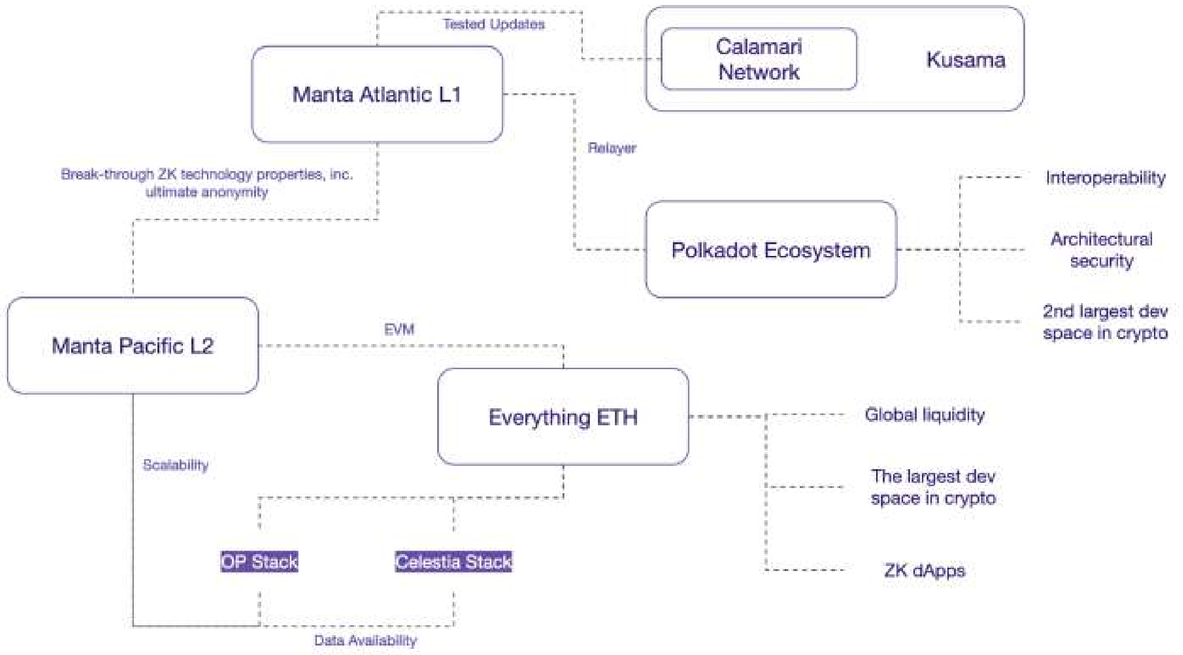
Game theory incentivizes token holders to behave in honest ways. Good collators are rewarded by this mechanism whilst bad collators will lose their stake in the network. This ensures the network stays secure. The staking reward comes from the transaction fee collections.

Governance Function

We intend to offer governance value for `$MANTA` via a DAO system. `$MANTA` holders can stake `$MANTA` to vote on important proposals (e.g., new listings, incentives for miners). In return, they receive rewards in `$MANTA` from transaction fee collections. In the end, our goal is to have the project progressed by the community.

Extended Function

With other protocols like privacy-preserving lending platforms built on `$MANTA`. The `$MANTA` token can be expected to share from more utilities.



Every single step of the way for user to utilise any of the mapped services obliges them to have some $MA at hand. And the overall attractiveness of the product proposition seems to be of enough utility to maintain the buy pressure, as we discussed previously in the paper. Does the whole system need having its own tradable asset? Yes, as is the case for every ZK protocol as as long as it offers its own customised privacy properties. Do all the monetary processes are logically bound to use the token in order for the end user to access the services? Yes.